

Choosing the right options

Using these ideas helps you see what your options are, and how they would help your organization. But you still need to decide which of these options to choose, and justify that decision. Each option you pursue views opportunity costs in time and money, so it is important to select only the most promising ideas to pursue.

TIP**DECIDE OBJECTIVELY**

Use some form of check on innovation projects before you start on them. Will the reward you expect be worth the risk and cost of the project?

Deciding where to innovate

So how do you decide on this? You could just run with the ideas that attract you and act on your hunches. That is a little like a gambler throwing the chips down randomly or backing a horse in a race because they have a “feeling” about it. Or you could use a more systematic approach. You can never make innovation a cast-iron certainty, because there is too much uncertainty involved—will the technology work, is there a market, will the competition introduce something else before us? But you can convert the uncertainty into some form of calculated risk.

Weighing the pros and cons

The easiest way to do this is through a cost-benefit analysis—simply comparing how much benefit the idea will bring against how much it will cost in terms of resources. That might give you an overall feel for one project over another, but a more useful approach is some form of “decision matrix” that helps you compare many different alternatives on a number of cost and benefit dimensions. Sometimes, looking at a project in just narrow cash terms may mean you miss out on some of its other potential benefits, like entering a new market, or learning some new skills, that you could then use in future projects.